



Review

Reviewed Work(s): Culture's Consequences: International Differences in Work-Related Values. by Geert Hofstede

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concept of dual labor markets is ill-defined and that many people move from the secondary to the primary sector. Finally, research using human capital to explain part of the sex gap in earnings is reviewed. The paragraph devoted to policy implications advocates both demand-side regulation and labor supply-side policies that increase human capital of women and minorities. Most of the research cited in the chapter was carried out in the U.S.

Chapter 4 summarizes the legislation on employment discrimination in the three nations, and the way courts have interpreted these laws. Chapter 5, contributed by Naresh Agarwal, discusses pay discrimination, reviewing empirical research and summarizing the policies the three nations have adopted. Agarwal discusses "comparable worth" — the doctrine that pay differences between segregated male and female jobs are discriminatory when the jobs are of comparable value. Chapter 6 discusses the limited unionization of women and blacks, discriminatory practices of unions, and legislation barring such discrimination.

The book's main value is as a bibliographic guide to extensive references on the topics covered. Beyond this, it contributes few new insights. The reviews of theories are too cursory for those not conversant with economic literature on discrimination, but not novel enough to interest experts in the field. For the U.S., much better reviews of theory, research, and legal trends are available.¹ The book is unique in its presentation of data and legislation from three nations. And while the authors' logic is tight, the writing style is wordy.

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On economic theories of discrimination, see Arrow (1973). On sex differentials, see Lloyd and Niemi (1979). On discrimination laws and court interpretations, see Peres (1979).

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Culture's Consequences: International Differences in Work-Related Values.

Geert Hofstede. Beverly Hills, CA, and London: Sage, 1980. 475 pp. \$29.95.

This book is astounding in many ways. It reports results on a vast study and develops and discusses a theoretical approach that includes references to findings and theories from various disciplines — all with great clarity; it contains incredible amounts of data and refers to about 800 other sources, yet it is as readable as a novel.

While working for an undisclosed multinational company called "HERMES," the author administered and analyzed questionnaires addressed to employees of the company in 40 countries. Data were collected around 1968 and again around 1972, which

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made possible both extensive intercultural comparisons and comparisons over time. An unbelievable 116,000 questionnaires were distributed, containing questions on attitudes, preferences, and perceptions about work in general and in the HERMES company in particular. In this book, Hofstede analyzes those responses that have proved pertinent to the descriptions and explanation of cultural differences. In addition, the author checks results against those obtained from responses to questionnaires distributed among participants of courses in the IMEDE business college at Lausanne, Switzerland.

I would place the contents of the book under the following rubrics: (1) derivation of a conceptual framework of culture on the basis of contributions from psychology, sociology, and social anthropology; (2) description and explanation of the position of national cultures on four intercultural dimensions of culture, considered separately and together; (3) observation and explanation of changes in cultural values over time; and (4) conclusions about the suitability of different models of management and organization in different cultures.

Derivation of the Conceptual Framework

Hofstede's analytic definition of culture is the totality of *values*, considered as "mental programs," that are transmitted to individuals in a nonrational fashion and that are distinctive for a social or societal collectivity. Hofstede draws on a great variety of authors, schools of thought, and disciplines. This eclecticism may not appeal to everyone, but the argument is consistently and convincingly presented and refreshingly unfettered by controversies between disciplines and schools. It does contain some passages that read almost like a general introduction to the social sciences, but if they help the general reader to understand the book, this may be valuable, particularly since such general passages take up relatively little space in this large volume.

A problem of both conceptualization and practical research method is to decide whether it is possible to define a universal instrument to measure culturally specific values. The question is whether a standardized instrument applied around the globe does not cover up the variation of specific dimensions from one culture to another. Hofstede's approach does not deny the possibility that response to a standardized questionnaire may have to be looked at qualitatively rather than only quantitatively, but his general procedure focuses on the expression of culture in quantitatively different scores on standardized scales. In empirical detail, however, he supplies a great many ideas and insights into qualitative variation. Thus, the study strikes a good, pragmatic compromise, oriented toward making full use of research data that simply had to be collected with a quantitative emphasis because a project of this scope would otherwise have been impossible.

Dimensions of Culture

Cultural diversity is seen to be reflected by nationally typical response patterns along four dimensions. These are termed: (1) power distance, (2) uncertainty avoidance, (3) individualism, and (4) masculinity. Concepts for each dimension are derived with great care, both theoretically and empirically. Again, the argument is traced through different disciplines, with an emphasis

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on comparative social psychology. One cannot but admire the determination and grasp of the literature with which Hofstede developed the theme of each cultural dimension. The sequence of argument for each separate dimension is fairly uniform, which helps to keep track of an extremely rich treatment of research results, both of the author's and other studies. First, there is a theoretical derivation of the concept from standard books and theoretically and empirically significant studies. Then, there is an operationalization of the concept in terms of questions in the HERMES questionnaires. This is followed by a presentation of country scores on each defined index of the four dimensions. The variation of index scores is correlated with variation in responses to other questions, which maps out the wider substantive context of each cultural dimension. National HERMES samples are further broken down by age, sex, and occupation, both in order to control their influence on aggregate national patterns as well as to examine their relative direction and strength of influence in each country.

Then, very detailed comparisons with other cross-cultural studies follow. These include thematically general studies as well as studies dealing specifically with managerial or work-related attitudes and perceptions. Findings are further explained with reference to a great variety of factors. These include macroeconomic figures (wealth, economic growth, etc.), national statistics of health, road accident causes, crime, and causes of death, climatic levels and variations, geographical distance from the equator, religion, and manifold descriptions of societal institutions. The argument concentrates on establishing the theoretical nexus linking cited variables and correlations, rather than trying to discover one-way causal influences. At this stage, the discussion of findings builds up to a more speculative discourse that finishes chapters dedicated to each dimension of culture. Here, I had the feeling that Hofstede was going beyond the limits of his and other findings; associations of variables might be justified in view of correlations at a general level, but the great amount of cultural diversity behind each of Hofstede's dimensions was becoming just too great to be taken into account convincingly. The reader is best advised to take figures showing factors associated with high or low score on each dimension, at the end of the dimensions chapters, with a large pinch of salt indeed.

The author has an unusual capacity to combine into neat schemes rigorous, sober discourse, empirical care, and meticulousness, with the clear expression of wider-ranging theoretical speculation. Such schemes are so beguilingly attractive, because of their punchy presentation, that one has to be warned against taking them as summaries of findings. This difficulty is, however, linked to a strength of the book. The author is invariably at his best when he is able to interpret findings and add additional observations about cultural effects, from personal memory and experience. Hence, he is particularly explicit on cultural differences between the Netherlands and sometimes Scandinavian or Anglo-Saxon countries, on the one hand, and France, Germany, or Belgium, on the other. Such a qualitative-intuitional background makes the analysis particularly informed, but it also weakens it when the theoretical summary becomes too much a generalization of the author's own "mental programming."

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The substantive argument about each dimension provoked in me two different reactions. I felt that there was something to it — that the concept behind each dimension seemed to reflect important cultural variation — but I also felt that nations are not so much *more or less* uncertainty avoiding, masculine, etc., but that they are so in different ways. I will illustrate this with regard to uncertainty avoidance. Conceptually, this is ambiguous, because it refers to (1) uncertainty avoidance by anticipation of outcomes through logically analyzed and formally expressed sequences of action, and (2) uncertainty avoidance through diffuse loyalty in families, clans, enterprises, or other groups. Both can be looked at as functionally equivalent patterns that may covary negatively. The author's theoretical derivation clearly emphasizes the first, but the indicators relate to both, and the country scores make it very likely that it was not the first concept of uncertainty avoidance that was reflected most strongly. Crudely speaking, my mind rebels when Greece is shown to be the top uncertainty-avoiding country within a conceptual framework that relates this concept to the Astonian one of "structuring of activities." HERMES employees in Greece may certainly emphasize rule orientation, employment stability, and stress at work, but I cannot bring myself to accept that Greeks are such strong uncertainty avoiders.

This difficulty may be related to the possibility that HERMES employees in each country are different selections from the population and figure differently against the national norm or average. This is the problem of national modality or representativeness of HERMES employees. Another is that this company's personnel policy may be different in different countries or have a different impact on employees' perceptions. Hofstede explicitly recognizes such problems, but he rightly admits that they cannot be resolved in his study.

Conceptually, it is extremely important to distinguish work-related perceptions from those bearing on other spheres of life. A large power distance in the enterprise, for instance, does not necessarily imply a corresponding large power distance in the family, such as between father and children. Because Hofstede focuses on the sphere of work, one must use caution in generalizing findings from this sphere to others. One of the hallmarks of culture is that, although features in different spheres of the culture are related to each other, they may be so in culturally specific ways, which requires a concept and research on how the linkage varies. Obviously, culture is too complex a phenomenon to be satisfactorily encompassed by any single treatment. Hofstede expressly admits to the overwhelming complexity of culture; one ought therefore not to ask more from his work than is humanly possible, but it would be equally inappropriate to use it as something other than a limited account of this complex phenomenon within confining practical constraints of a methodological kind.

The integrated analysis of country scores along more than one dimension at the same time is one of the most stimulating pieces on cultural differences in organization that can be found (chapter 7). To my mind, this is the most important part of the book, and much more convincing than the more speculative chapter endings dealing with each dimension separately. Analysis of the interaction of uncertainty avoidance with power distance is particularly informative; country scores on the two

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dimensions are shown to yield clusters of cultural affinity. Such clusters are used to show how particular types of organizations and management are characteristically geared to values that dominate in culturally related groups of countries.

The ninth chapter draws valuable conclusions about the suitability and adaptation of organization and management concepts under different cultural conditions. It shows that models that are purported to be generally applicable are in fact culture-bound and effective only under particular circumstances. They may not work in some countries, or their successful application may rest on wide-ranging modification of the concept. Again, this chapter is a definitive contribution, and it ought to be taken into account by everyone engaged in management and organization training.

A number of appendices that follow provide a rich documentation of questionnaire design and the raw data obtained. Together with results in individual chapters, this makes the book potentially very useful for further, secondary analysis. Hofstede has not only rendered a service to the state of knowledge in a substantive area but also to other researchers, who can only be encouraged to reanalyze data from the study. This is a rich quarry for everyone who is anxious for cross-national data on a world-wide scale.

All considered, this is a very stimulating and useful book. Hofstede has traversed a very difficult and complex terrain with great insight, effort, dedication to detail, and clarity of thinking. The treatment combines intuition with empirical and methodological dedication, and often, the intuitively selective evidence and argumentation stand out against findings permitted by the confines of the empirical material. This makes some speculation appear less convincing, but it also enriches the interpretation of results considerably. It is truly the author's *Lebenswerk* — the lively and hard-working presentation of a lifetime's work. Read it in very good daylight, because the print is so small and dense that it might make you tired in bad light; the contents of the book would not deserve this!

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Industrial Democracy in Europe.

Industrial Democracy in Europe (IDE) International Research Group. Oxford: Clarendon Press, 1981. 449 pp. \$59.00.

During a time when organizational theorists in America were busy debating the utility of garbage can theories, loosely coupled systems, organizations as anarchies, social construction of reality, alternative types of contingency theory, social networks, ecological niches, and organizational Darwinism, and were rediscovering human relations through Theory Z, a group of European scholars organized to test a rather novel idea. That idea was whether the twenty-odd years of theory and research in organizational behavior could fulfill Kurt Lewin's dictum that there is nothing so practical as a good theory. This group, unlike

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